BRICS Collective Financial Statecraft

FOUR CASES

GIVEN THEIR RISING capabilities and similar frustrations with the existing system, the emerging economic powers of the BRICS (Brazil, Russia, India, China, and South Africa) are bound to affect global economic governance, whether individually, as in the case of China, or collectively. Many scholars and policymakers have been skeptical that this eclectic group of five, dispersed around the world only to be bound by the imagination of a Goldman Sachs economist, could create an effective coalition.[1] As evidenced in the following discussion, the BRICS governments have achieved discernibly successful collective actions in their financial statecraft to further common foreign policy goals over the past decade.

DEFINING COLLECTIVE FINANCIAL STATECRAFT

International *financial statecraft* is defined as a national government's use of monetary or financial regulations, policies, or instruments to achieve foreign policy ends.[2] Most analysts of financial statecraft begin with a set of assumptions about how the topic should be defined (see Table 3.1). Five assumptions in the traditional conceptualization of financial statecraft are as follows. First, the agent, or initiator, is assumed to be an individual state, either acting alone or becoming the main mover behind a coalition of like-minded states. Second, the target is similarly assumed to be an individual state. Third, the purpose of the action is assertive or offensive on the part of the agent, and the means employed are coercive.[3] Fourth, given these preceding assumptions, it is clear that the traditional financial statecraft literature conceptualizes power principally as *influence*, in which one state attempts to compel another to alter its previously determined course of behavior. Finally, it follows from all five of these standard conceptualizations that the agent-state necessarily will be a hegemon or major power, as less capable states have little hope of exercising such influence.